

O'Reilly Automotive (NASDAQ:ORLY)

A Logistics-Driven Aftermarket Leader

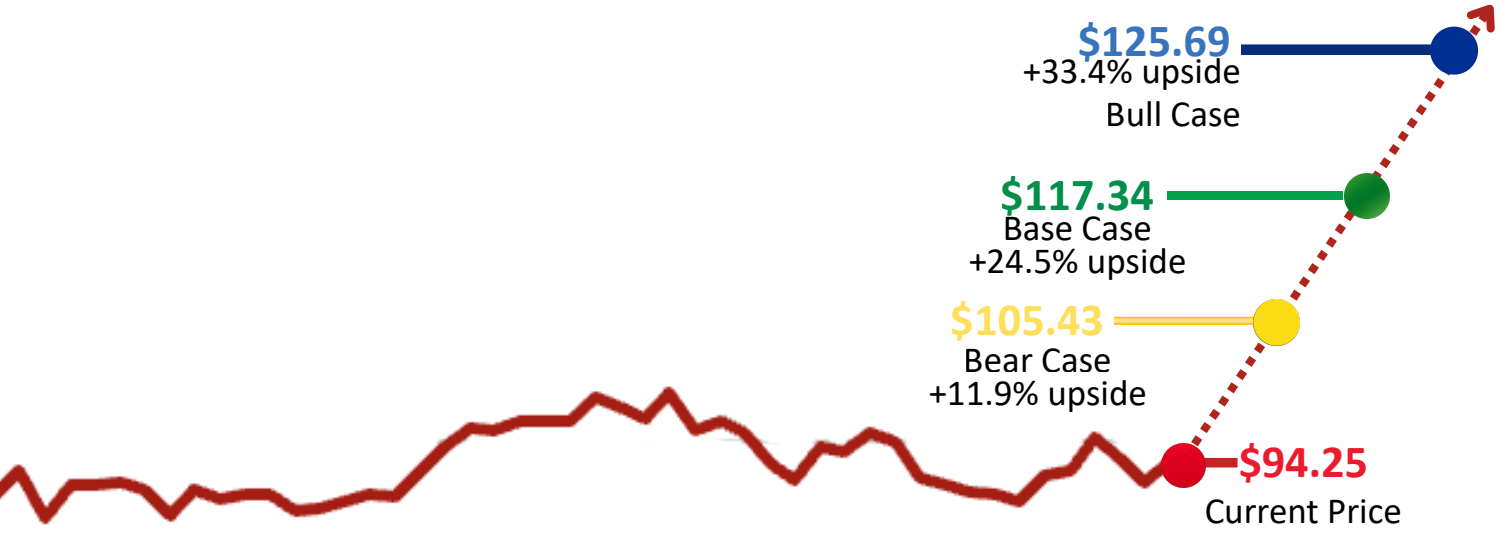
Team 8
Hosted by CFA Society Iowa

DATE

All market data as of Dec 09, 2025

Recommendation

We issue a BUY recommendation with a 12-month target price of $117, representing a 24% upside



Financial Snapshot	
Date	Dec 9th, 2025
Current Price	$94.25
Target Price Upside	$117.34
Market Capitalization($ mn)	$79,930
Enterprise Value ($ mn)	$116,070
Diluted Shares Outstanding (mn)	880.58
52-week Low	$85.55
52-week High	$108.72

Investment Summary

Three Drivers of Long-Term Value Creation

1. **Irreplicable Distribution Advantage**

2. **Fragmented Market Driving Share Gains**

3. **Capital Discipline Supporting Superior ROIC**

Business Overview: Scale-Driven Aftermarket Leader

Dense distribution network and dual-market strategy underpin durable growth



Company Snapshot

Industry **Global Automotive Aftermarket**

6000+ Stores in US

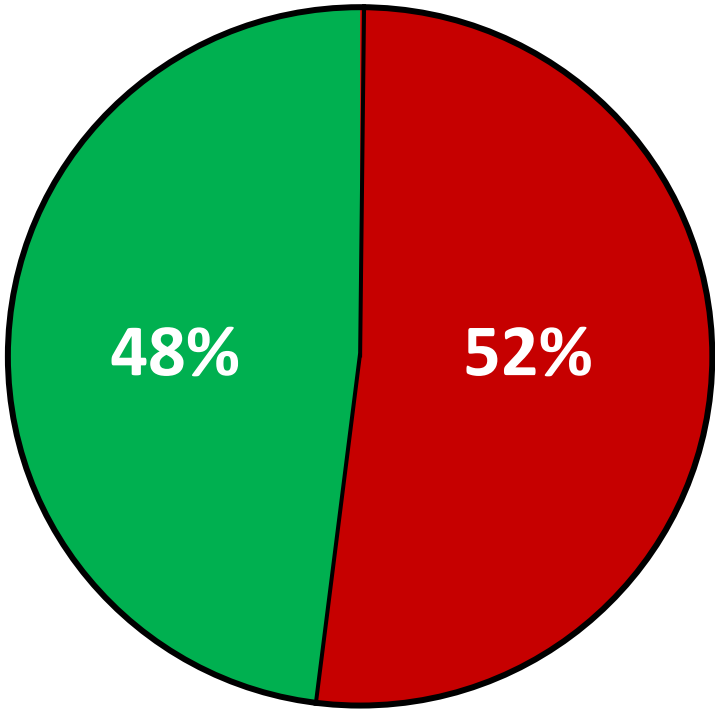
Est. U.S. Addressable Market **$160B - $170B**

Serves both **DIY Consumers** and **Professional Installers**

Business Overview: Balanced Revenue Mix Supports Stability and Visibility

Professional (DIFM) customers drive frequency, urgency, and margin resilience

2023A Revenue Breakdown



Source: Company Filings

Do It Yourself (DIY)

- Lower purchase frequency
- More discretionary purchases
- Maintenance/minor repairs

Do-It-For-Me (DIFM)

- High purchase frequency
- Time-sensitive demand
- Speed and availability prioritized
- Higher switching costs

Why does this matter?

- DIFM demand is recurring and non-discretionary
- Reduces earnings volatility
- Supports margin durability

Industry Overview - Takeaway

Aging vehicle fleet increases repair intensity

Rising VMT accelerates wear-driven demand

Affordability pressures extend vehicle life

These dynamics disproportionately favor scaled, availability-focused distributors like O'Reilly

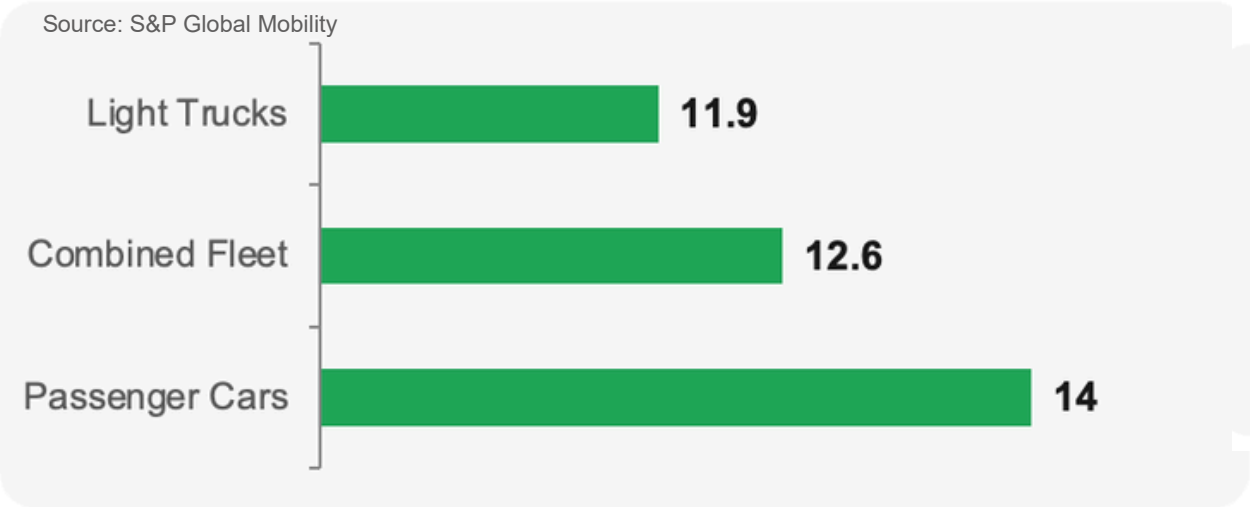
Older Vehicles = Higher Repair Intensity

U.S. Vehicle Age Steadily Increasing

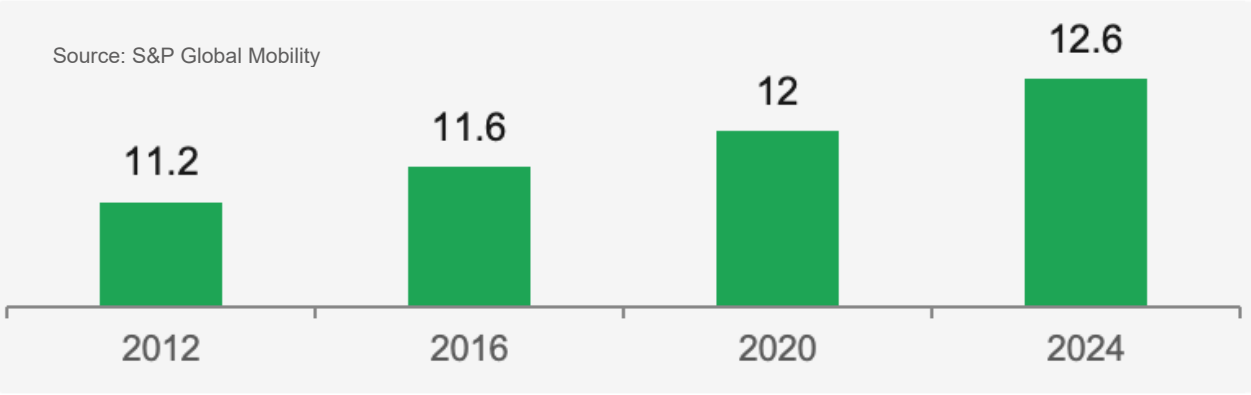
Key Statistics

- U.S. average vehicle age reached 12.6 years in 2024
- Vehicle age has steadily increased since 2012

Average Age by Vehicle Type (2024)



Fleet Age Trend (Years)



Usage recovery + aging fleet amplifies demand

Rising Repair Costs

Industry Implication

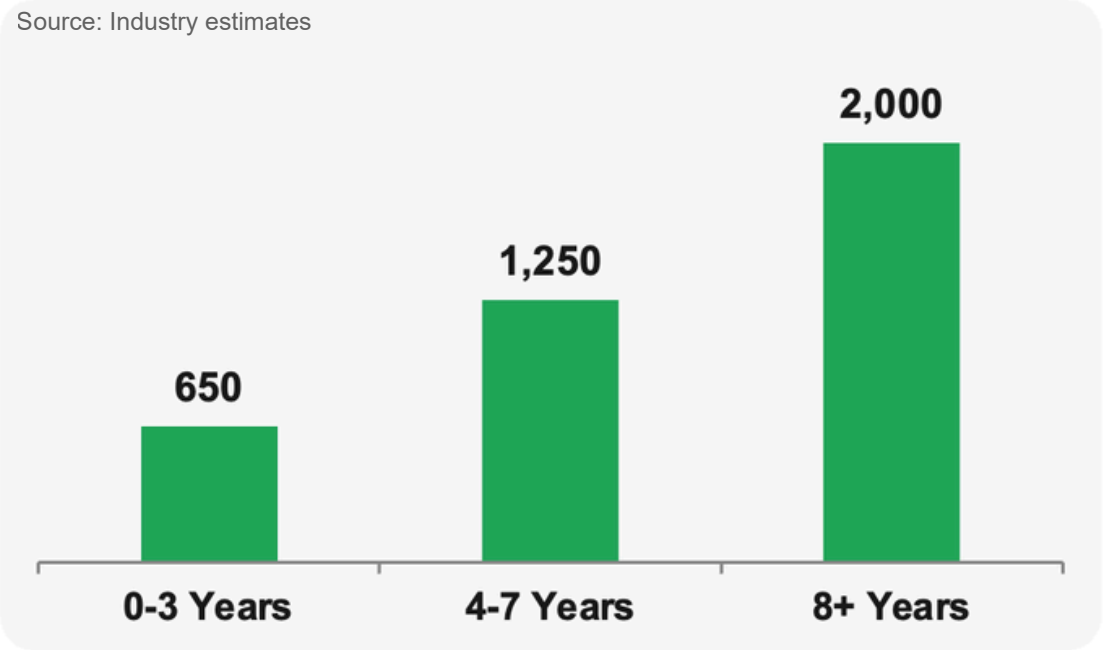
- Older vehicles = more repairs
- Demand is largely non-discretionary

Why This Matters for O'Reilly

- Deep SKU coverage for aging vehicles
- Supports both Pro and DIY demad

Avg. Annual Repair Cost by Vehicle Age

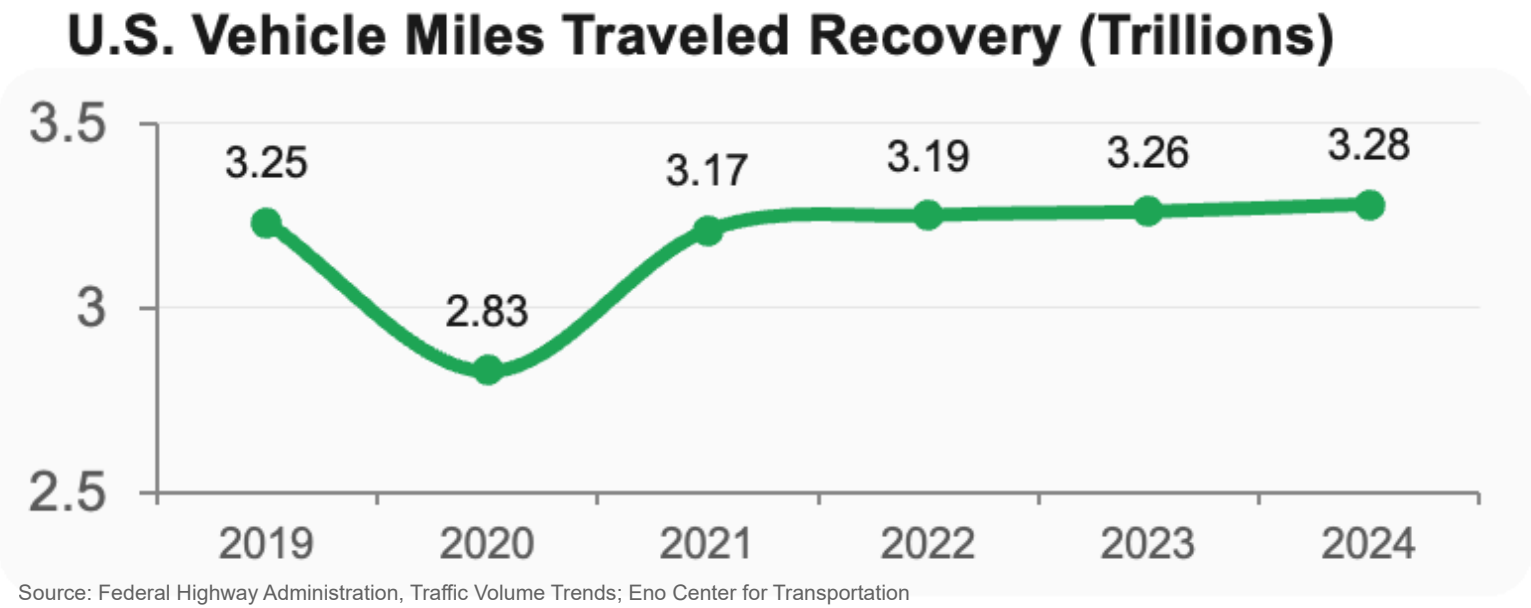
Older vehicles require more frequent repairs



8+ year vehicles cost ~3x more than new

Industry Overview

Rising Vehicle Miles Traveled (VMT)



Source: Federal Highway Administration, Traffic Volume Trends; Eno Center for Transportation

VMT Recovery

- 2020 dip: 2.83T miles
- Rebounded to 3.28T in 2024 (record)

More Miles = More Wear

Implication: High usage + aging fleet compounds repair demand

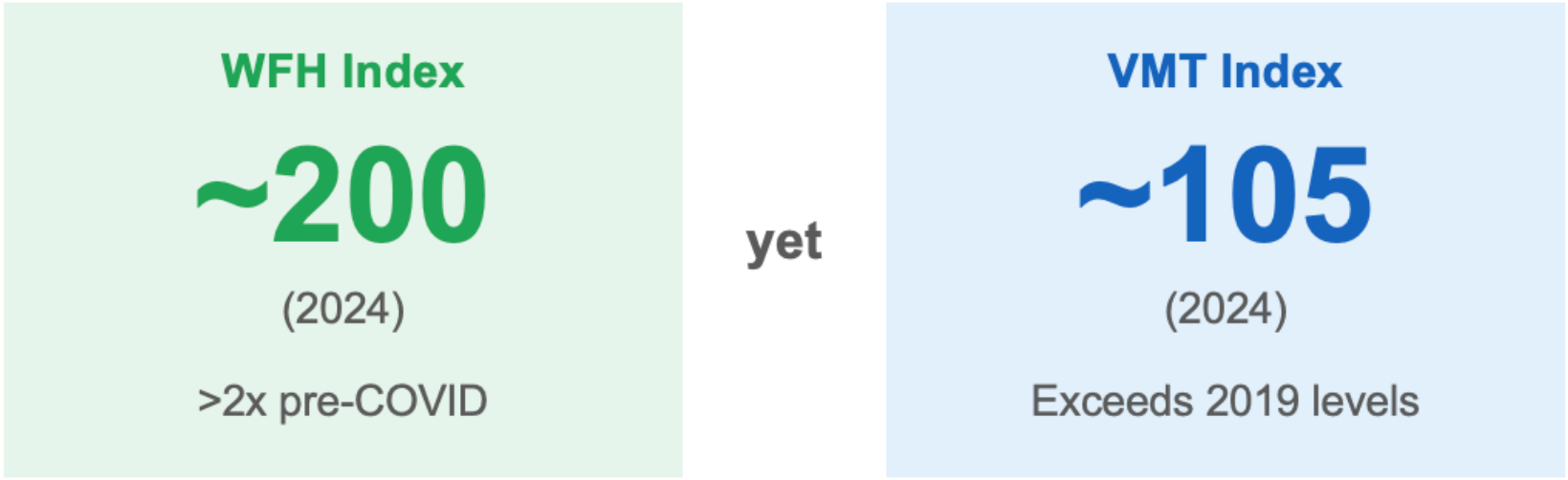
Addressing the Work From Home Paradox

Rising Work From Home Rates ≠ Less Vehicle Miles

Why This Matters for O'Reilly

- WFH >2x pre-COVID
- Yet VMT >2019 levels
- Leisure & migration offset commute decline

The WFH Paradox (Index, 2019 = 100)

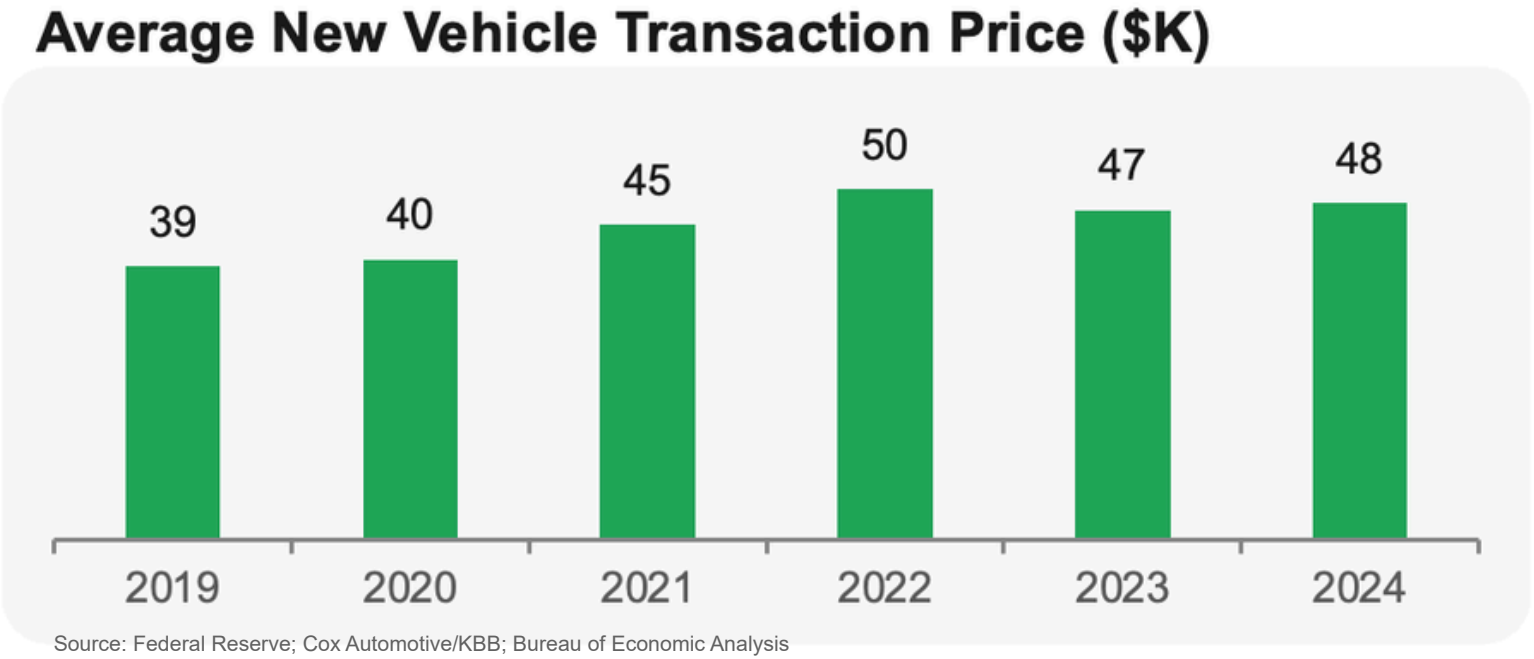


Industry Overview

Rising New Vehicle Prices

Affordability Pressures

- New vehicle price ~$48K
- Rates above 2019
- Payments at record highs



Source: Federal Reserve; Cox Automotive/KBB; Bureau of Economic Analysis

Implication: Economic pressures create sustained tailwind for aftermarket demand

Industry Overview

Repair VS. Replace

Consumer Response

- Repair > Replace
- DIY rising

Why This Matters for O'Reilly

- DIY & DIFM benefit
- Counter-cyclical resilience

Consumer Economics: Repair vs. Replace

REPAIR

$500-$2,000

avg annual cost

✓ Extends vehicle life
✓ No financing needed
✓ Immediate savings

vs

REPLACE

$700+/mo

avg payment (72 mo)

✗ High upfront cost
✗ Interest expense
✗ Depreciation hit

Implication: Economic pressures create sustained tailwind for aftermarket demand

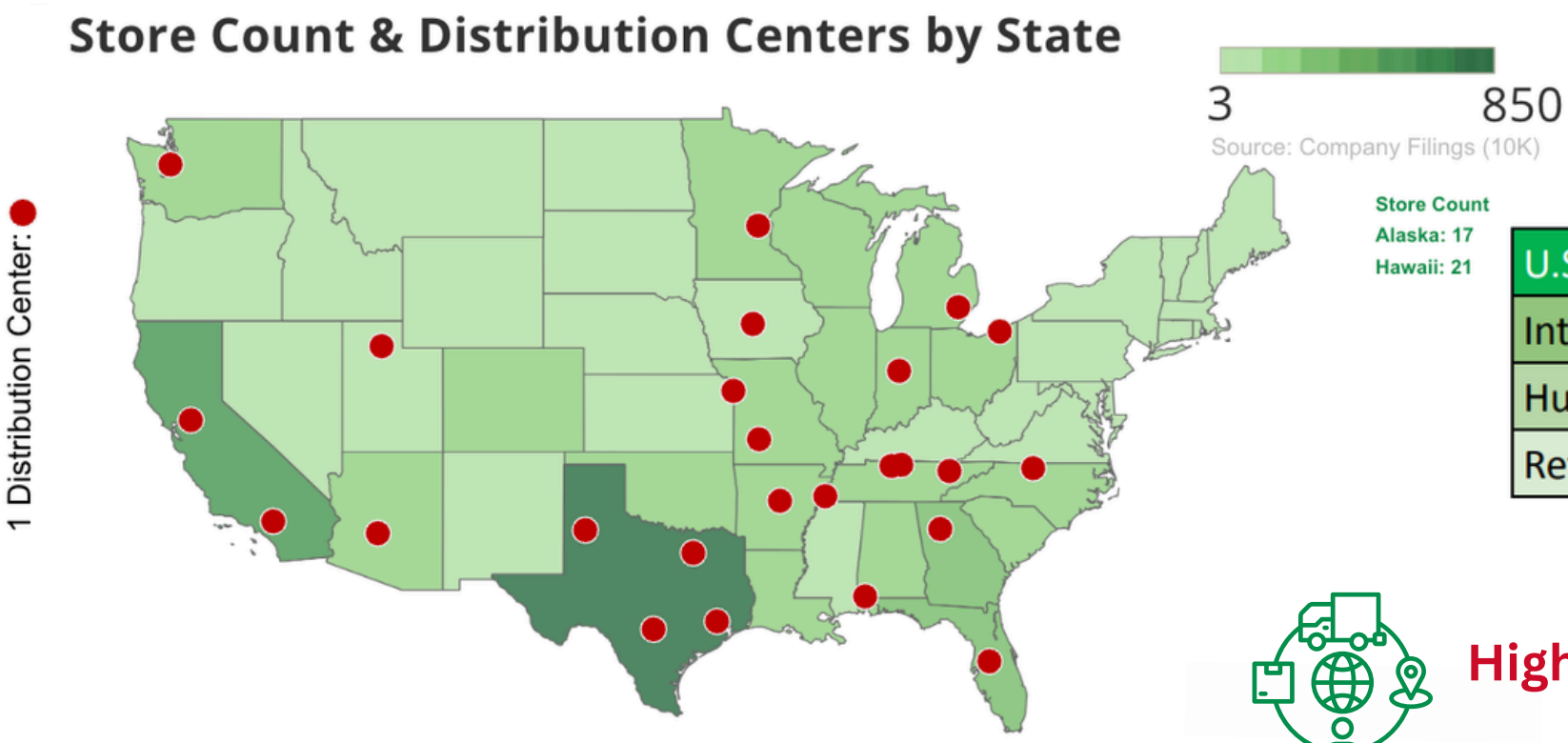


Pillar I:

Irreplicable Distribution Advantage

Irreplicable Distribution Network Creates a Structural Competitive Moat

Dense hub-and-spoke infrastructure creates competitive moat



U.S. Distribution Centers	26
International Distribution Centers	5
Hub Stores	396
Retail Stores	6,483

High SKU depth supports complex repairs

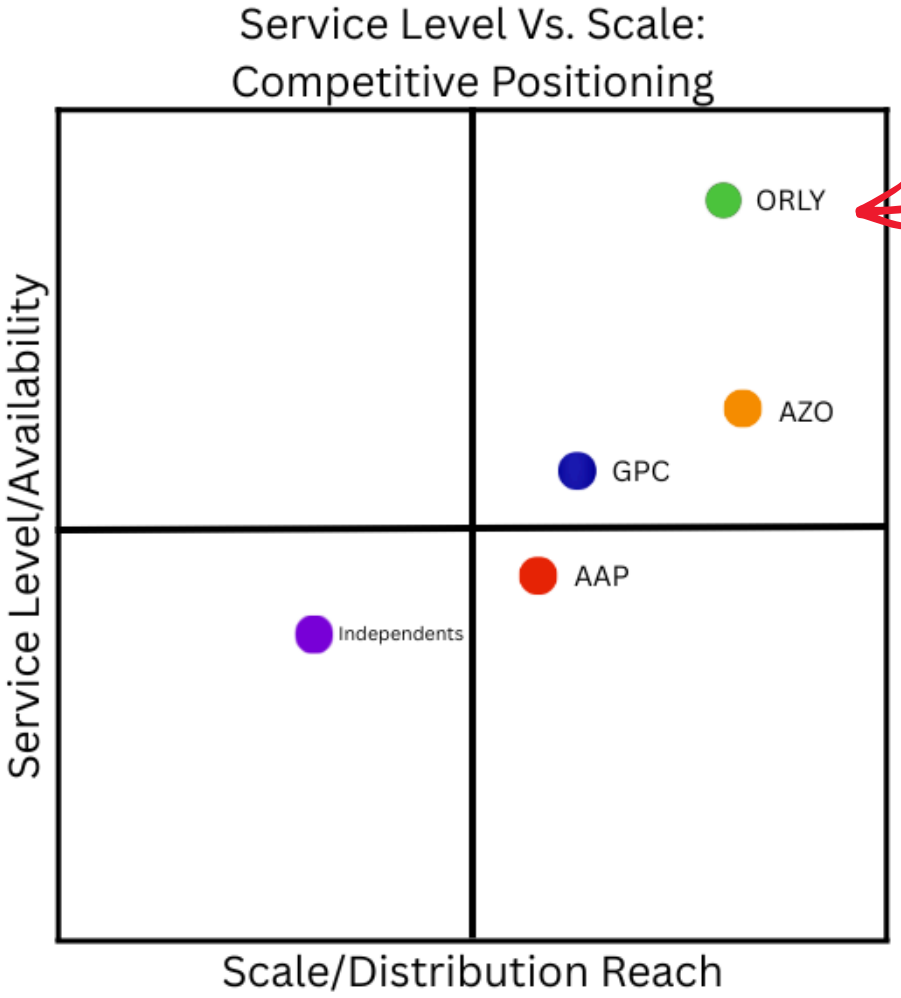
Same-day /next-day fulfillment at scale

Capital-intensive hub-and-spoke network

- Replication requires **multi-year investment** + **supplier relationships**

Distribution Advantage Converts Into Durable Profitability

Speed + Availability = Service Advantage

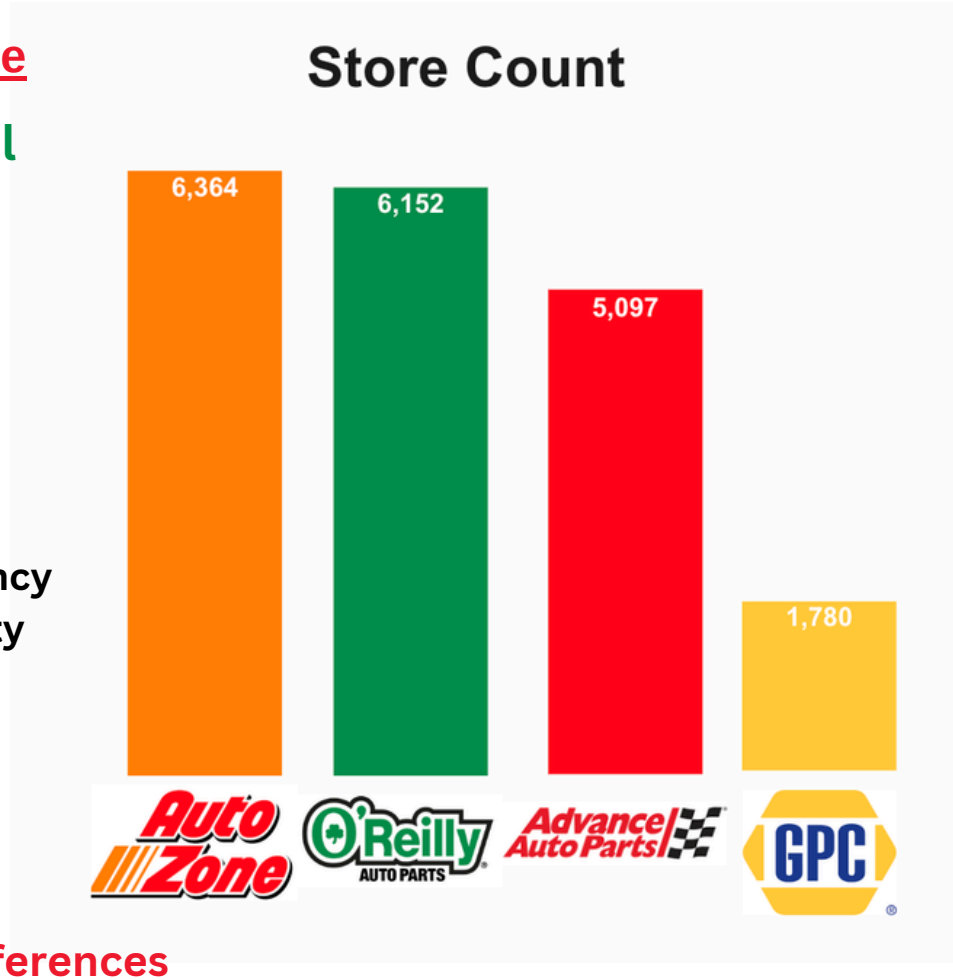


High Service/ High Scale

Hub-and-Spoke Model
+
High Store Count
=
Speed & Availability

- **Higher DIFM Mix**
- **Higher Purchase Frequency**
- **Greater Revenue Visibility**
- **Higher sales capture**
- **Margin Durability**
- **Working capital effiency**

Outweigh marginal price differences



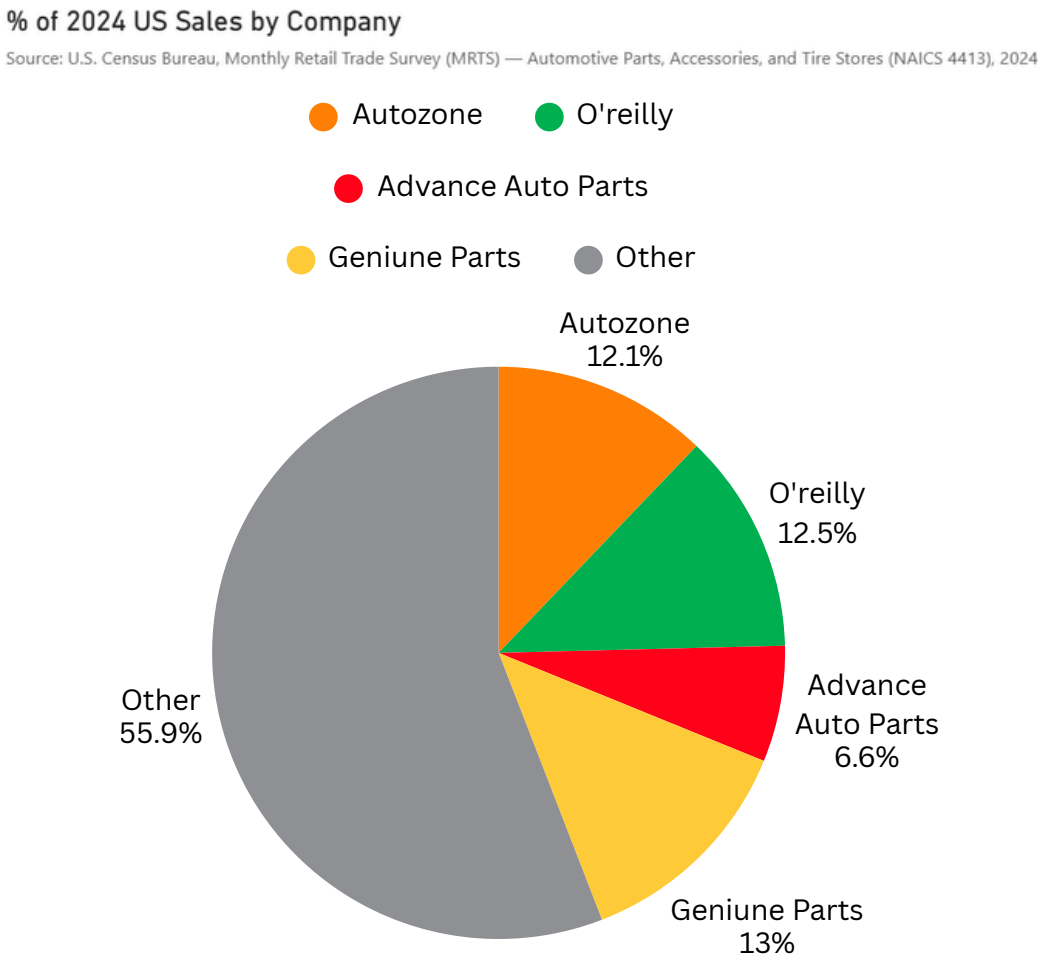


Pillar II:

Fragmented Market & Share Gains

Fragmented Industry Structure Favors Scaled Consolidators

Structural fragmentation enables steady share capture



Market Structure

- ~56% held by independents & small retailers
- Independents lack scale & logistics depth

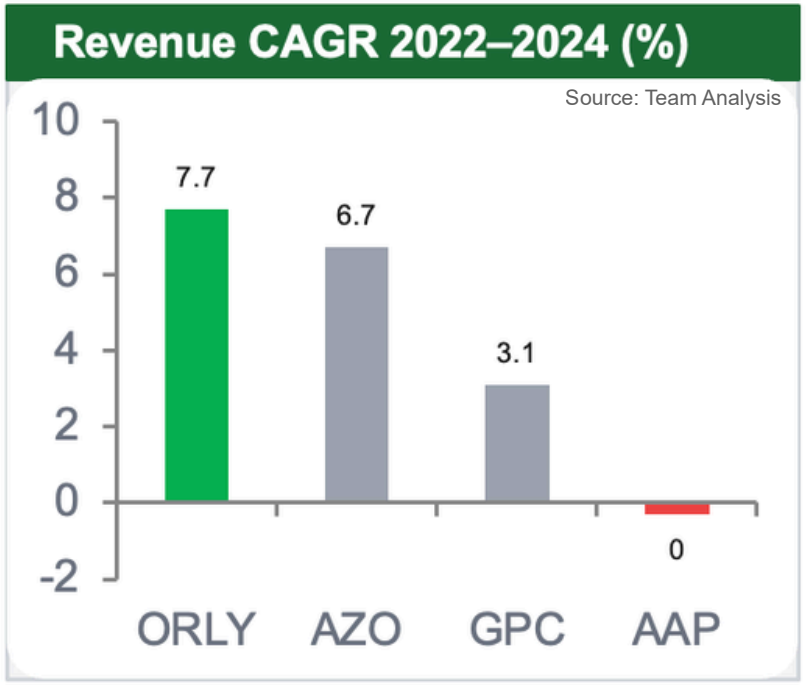
Competitive Dynamics

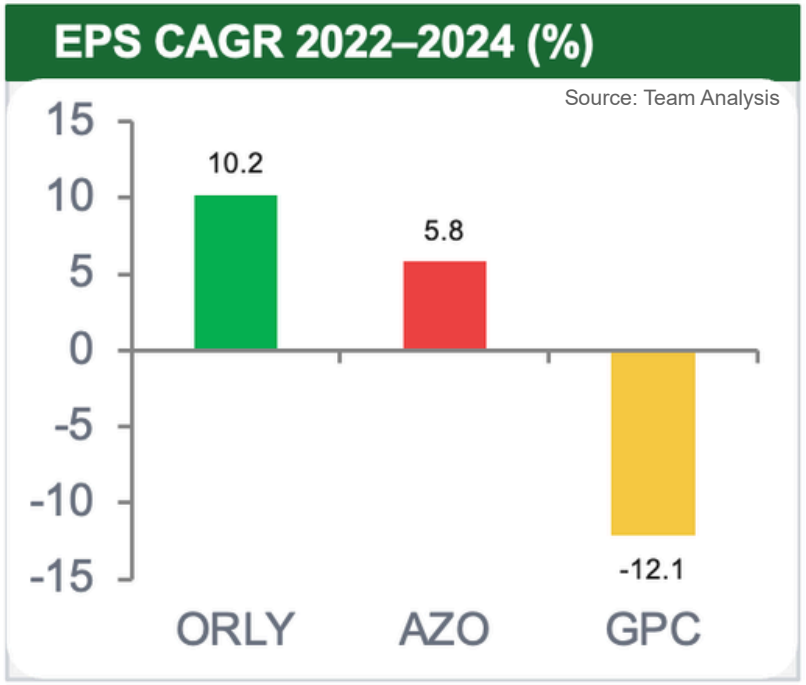
- Service reliability > price competition
- Share gains without destructive price wars

Bottom Line: Scale advantages enable disciplined consolidation in a rational market.

Financial Performance Validates Structural Share Gains

Growth without margin sacrifice





AAP excl. — negative FY2024 EPS

- Revenue growth outpaces peers
- Operating margins resilient
- EPS growth leads
- Earnings quality drives premium P/E

Bottom Line: Financial results confirm sustainable consolidation without price wars.



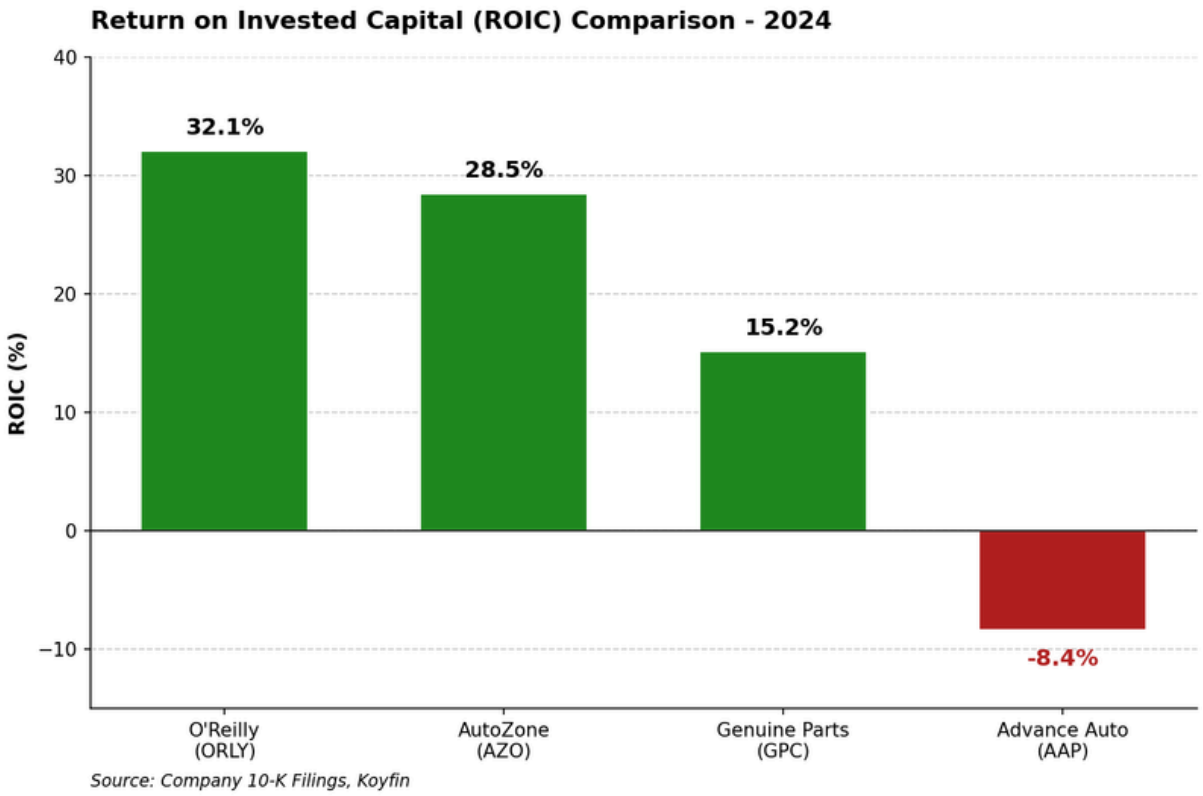
Pillar III:

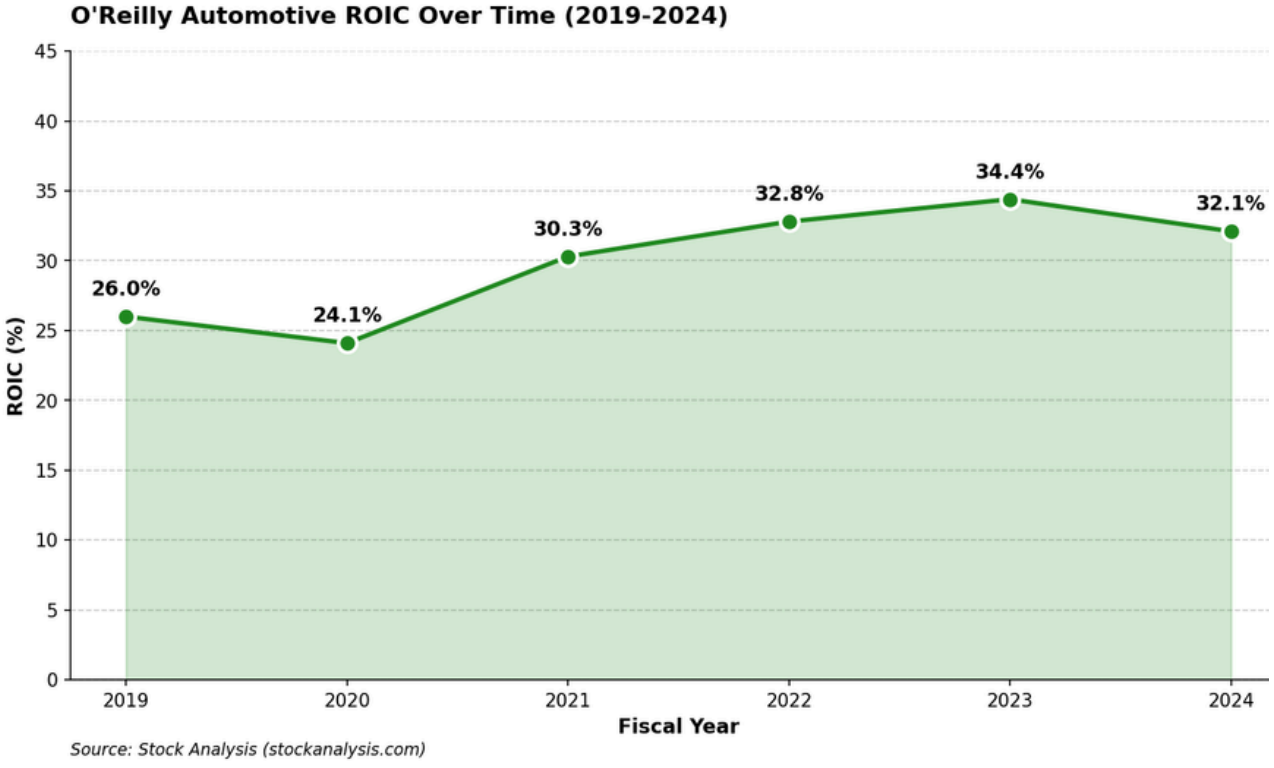
Capital Allocation & ROIC

Industry-Leading Returns on Invested Capital

Superior capital efficiency drives long-term compounding

- ~32% ROIC significantly above WACC
- Outperforms AZO, GPC, AAP
- Driven by margins & asset efficiency
- Not dependent on leverage

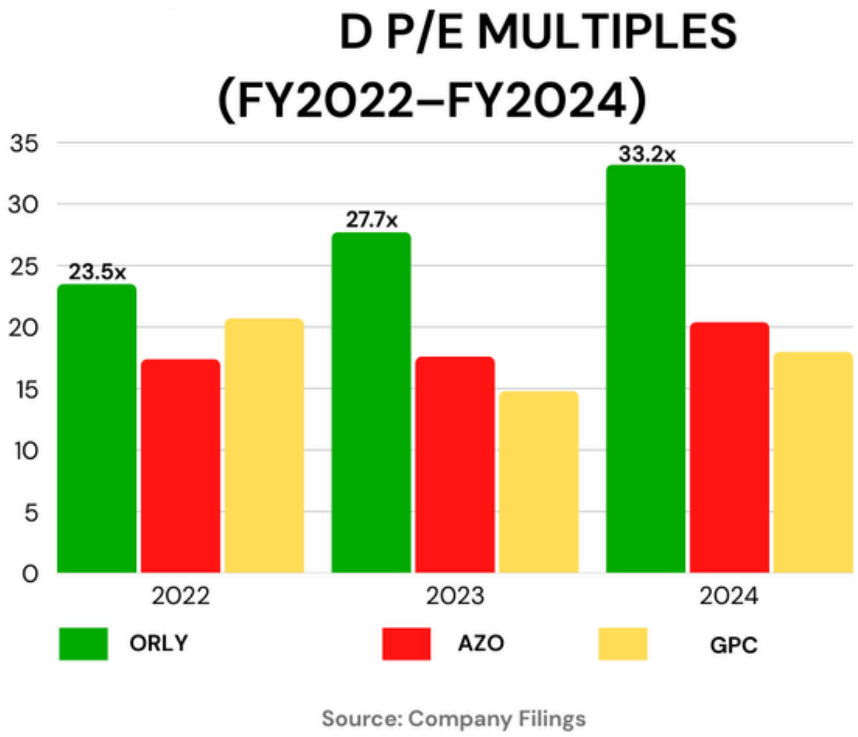




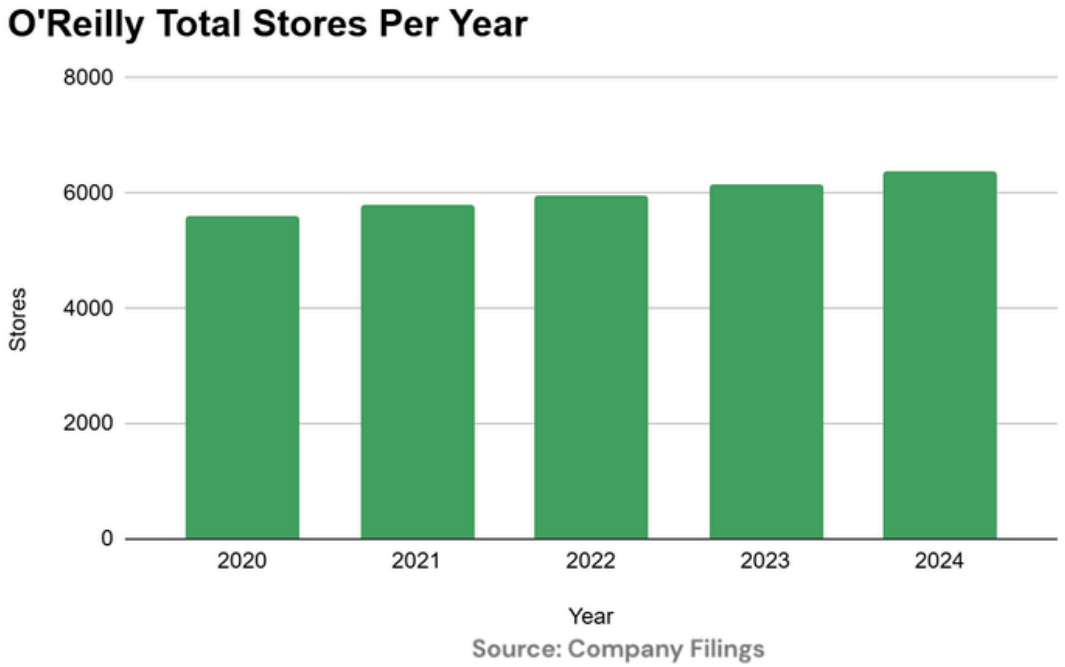
Disciplined Capital Allocation Reinforces Competitive Strength

Efficient reinvestment sustains growth and returns

- **Reinvestment in high-return stores & DCs**
- **Market Confidence in ORLY ability to reinvest incremental capital at high returns**



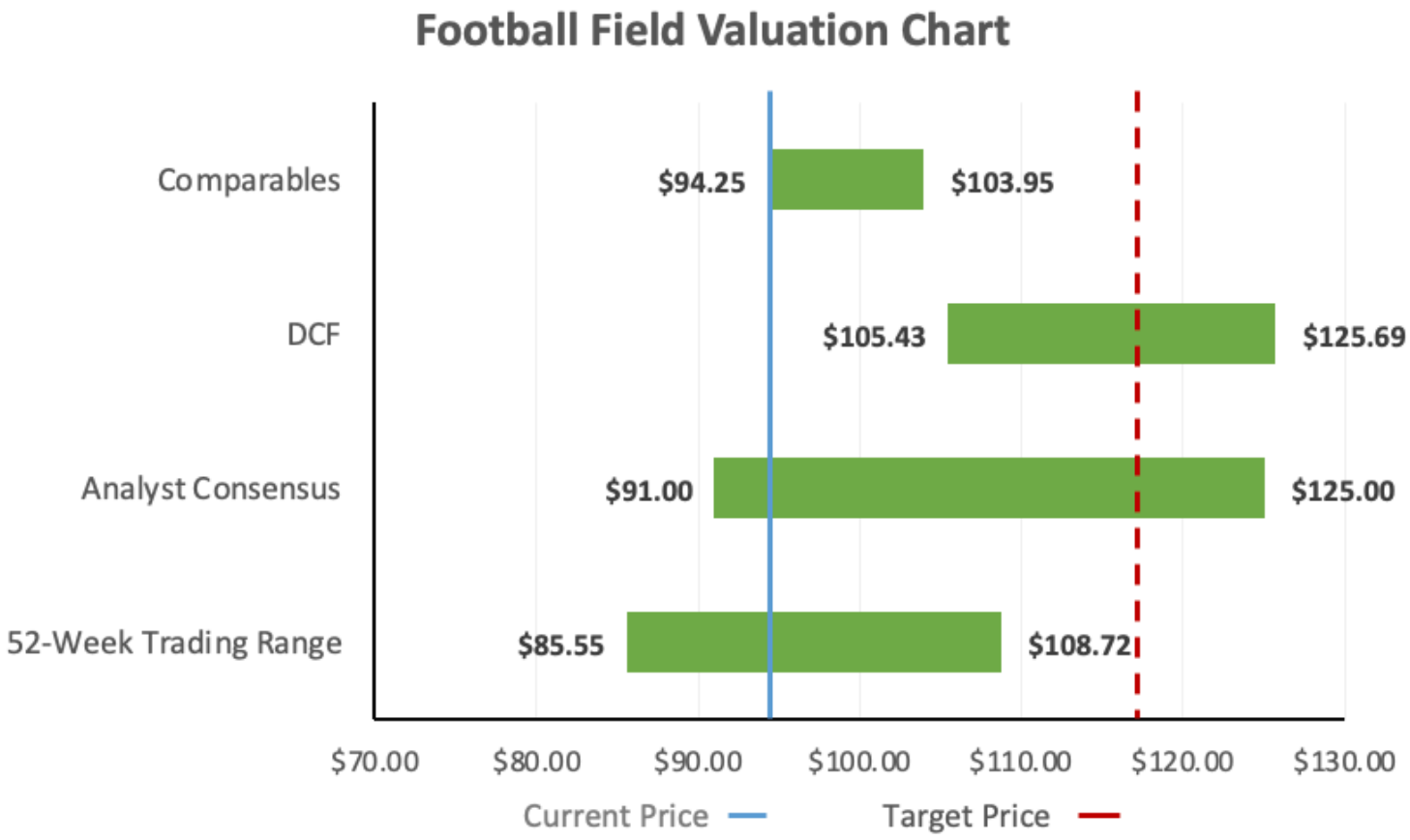
Source: Company Filings



Source: Company Filings

Metric	%
ROIC	32.10%
WACC	6.70%
Spread	25.40%

Multiple Approaches Indicate Upside to Target

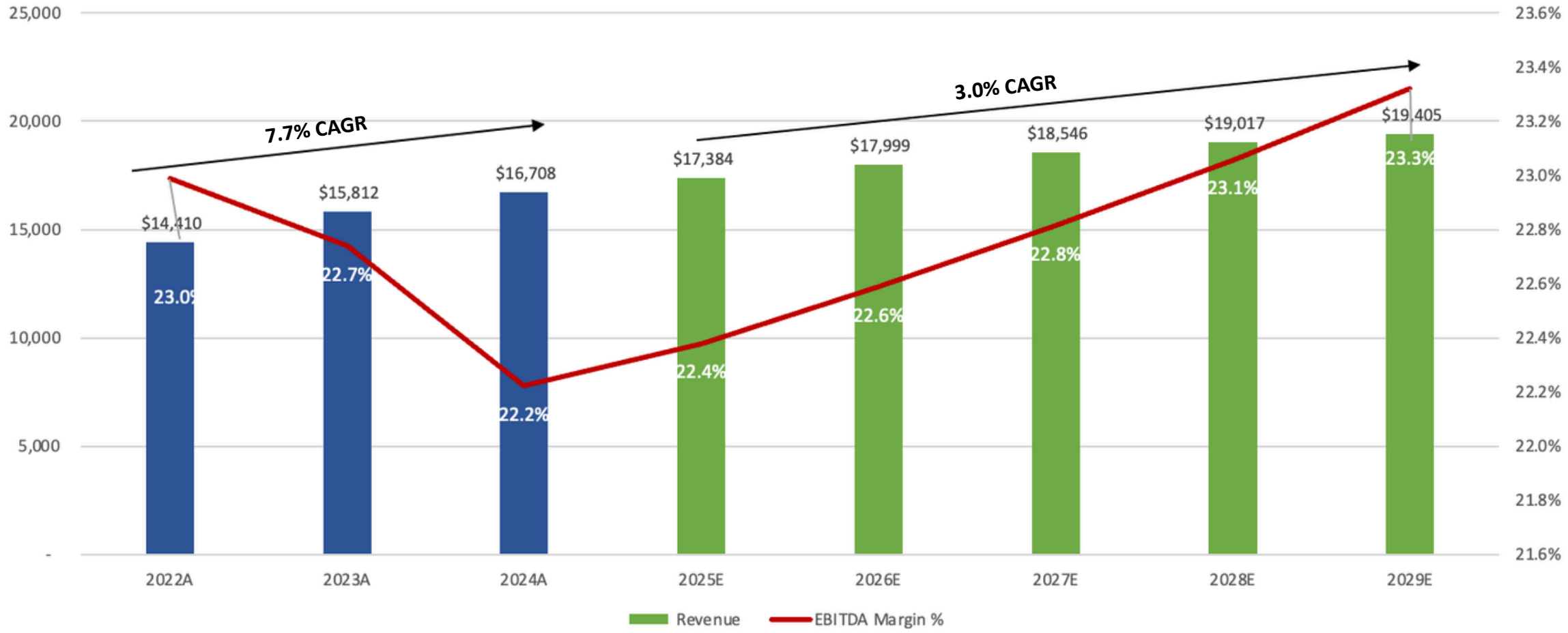


Source: Stock Analysis, Team Analysis

Weighted Average Cost of Capital (WACC)	
Equity (mm)	79,930
Debt (mm)	5,521
Cost of Debt	3.7%
Tax Rate	21.0%
D/(D+E)	6.5%
After Tax Cost of Debt	**2.9%**
Risk Free Rate (10-Yr Treasury Yield	4.14%
Expected Market Return	8.60%
Market Risk Premium	4.46%
Levered Beta	0.63
E/(D+E)	93.5%
Cost of Equity	**6.9%**
WACC	**6.7%**

Intrinsic Valuation

Under a base case scenario, O’Reilly still shows upside at its current price level



Source: Company Data, Team Forecast

Sensitivity Table

WACC	117.34	Growth Rate 4.00%	4.50%	5.00%	5.50%	6.00%
	5.70%	121.34	171.58	293.58	1,025.58	-682.42
	6.20%	92.11	119.00	168.30	288.01	1,006.33
	6.70%	73.70	90.32	116.71	165.09	282.58
	7.20%	61.05	72.26	88.57	114.47	161.95
	7.70%	51.82	59.85	70.85	86.86	112.28

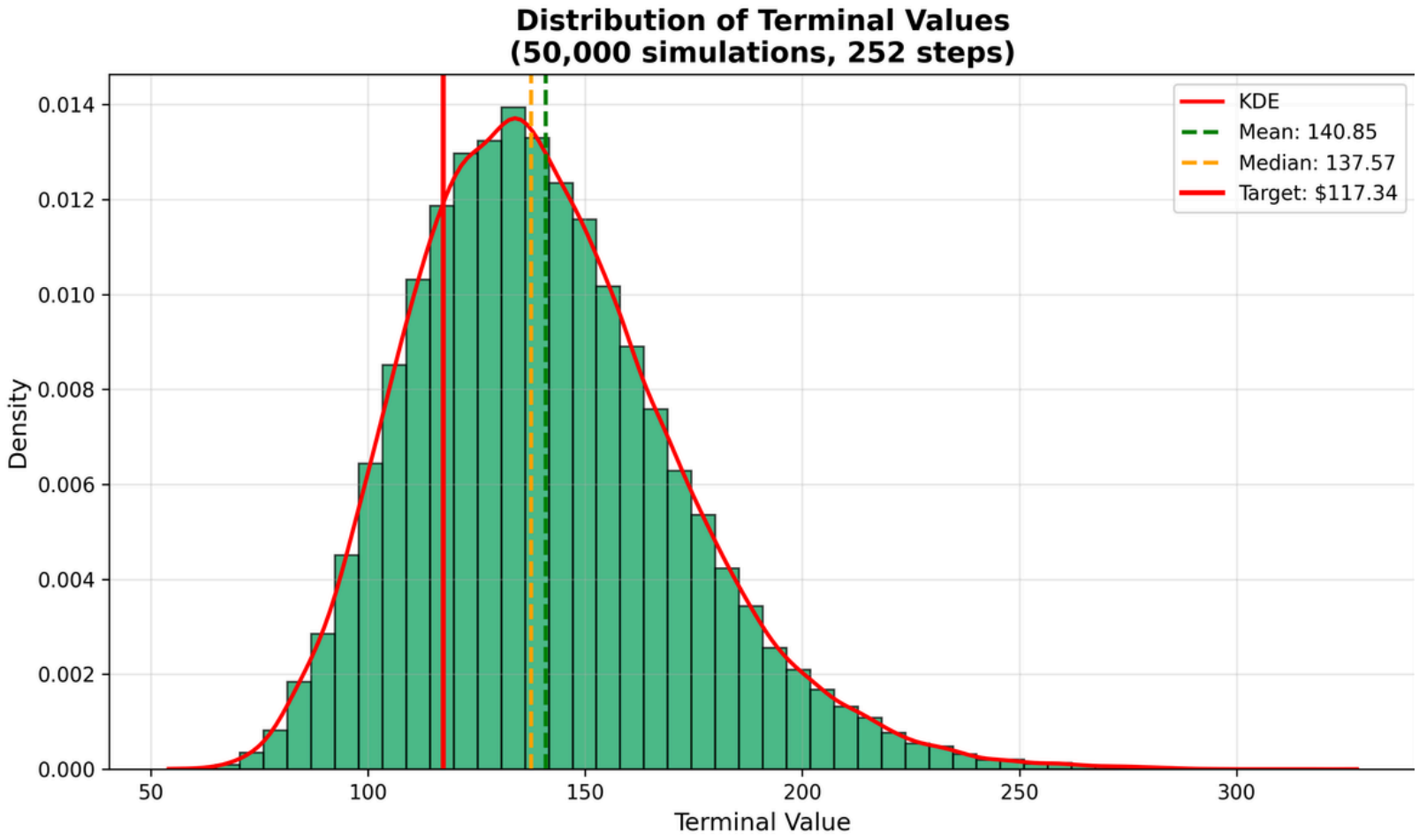
Terminal Growth	5.0%

Source: Auto Care Assosciation, Team Analysis

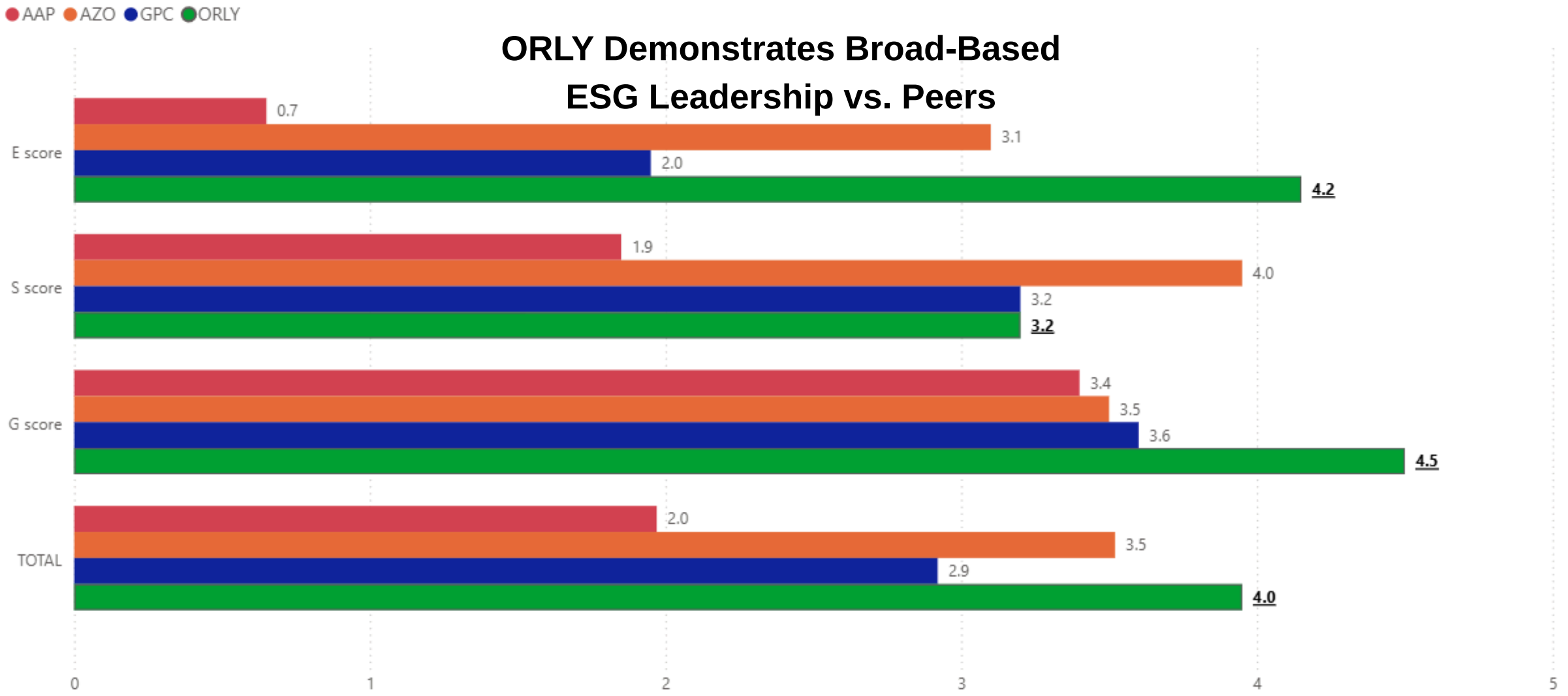
Monte Carlo Valuation: Upside Skew with Conservative Target

Target price lies near the lower quartile of simulated intrinsic values

Monte Carlo Simulation	
Min	$54.08
Mean	$140.85
Max	$327.71
25th Percentile	$118.96
50th Percentile	$137.57
75th Percentile	$159.08
Target Price	$117.34
Standard Dev	$30.79

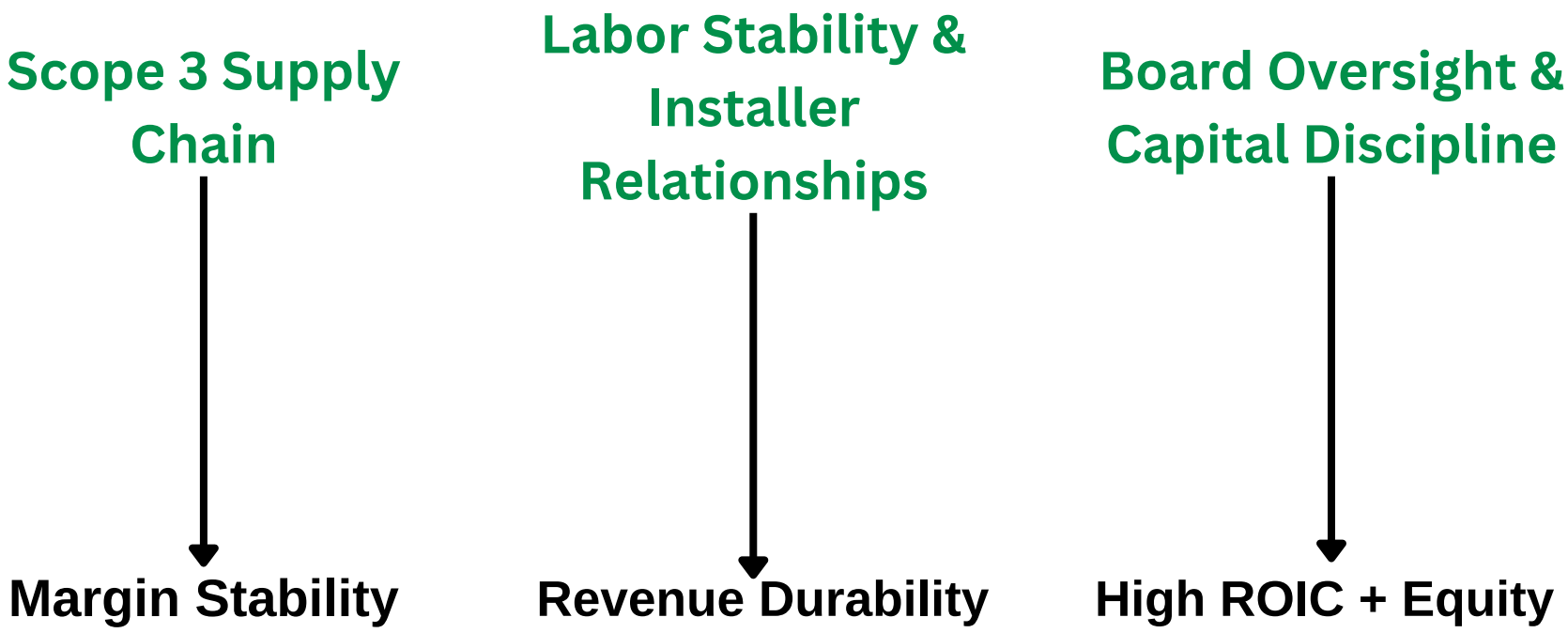


ESG SCORECARD



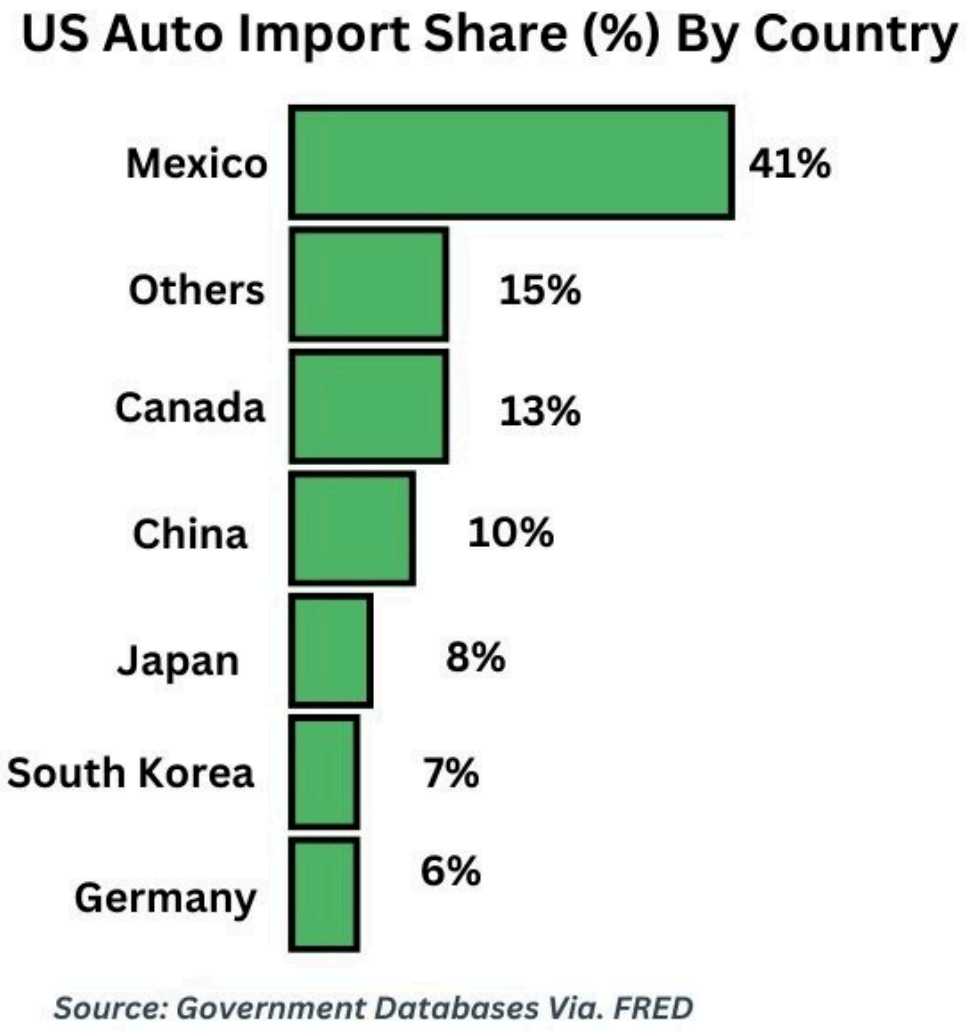
Source: Team Analysis, 2025

ESG: Operationally Material Supply Chain



ESG Factors Directly Reinforce Core Financial Drivers

ENVIRONMENTAL: Scope 3 Supply Chain



Global Supplier Footprint

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Targeted Emission Reductions

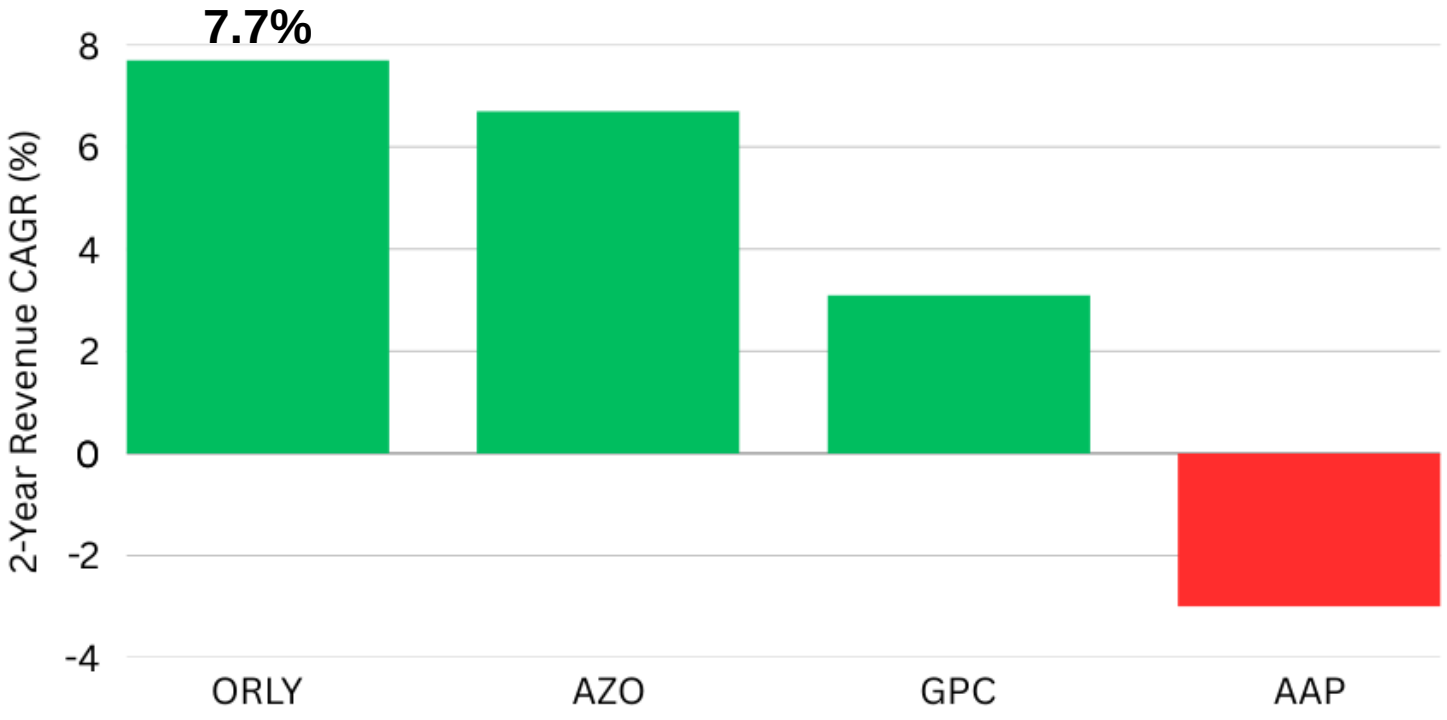
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Resilience & Transperency

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Reduced Cost Disruption Risk

SOCIAL: Labor Stability and Installer Relationships



2022–2024 Revenue CAGR vs Peers

Source: Company Filings

Stable workforce

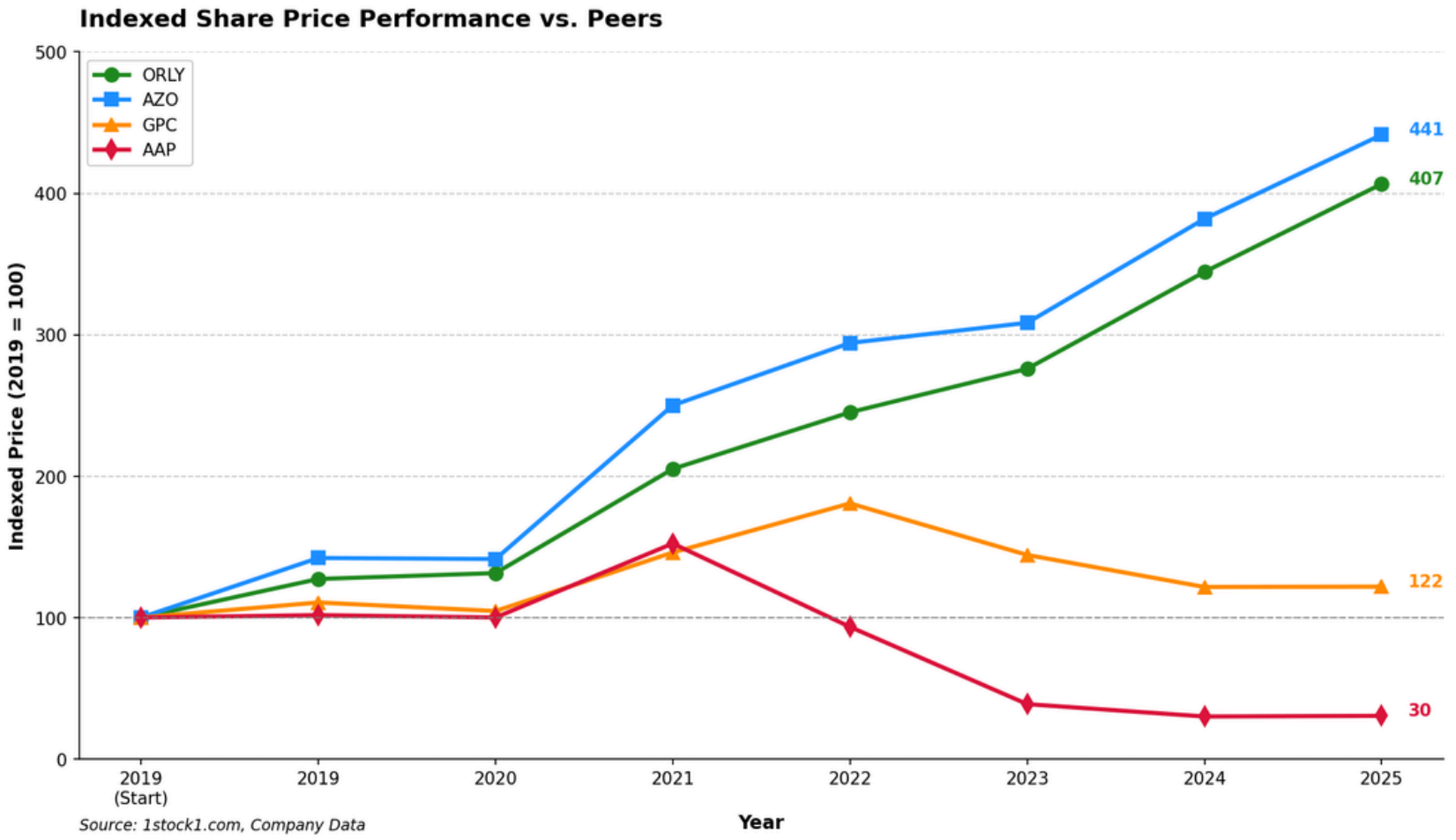
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Strong installer relationships

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Repeat Demand

GOVERNANCE: Board Oversight & Capital Discipline



Independent & Experienced Board

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Incentive Alignment

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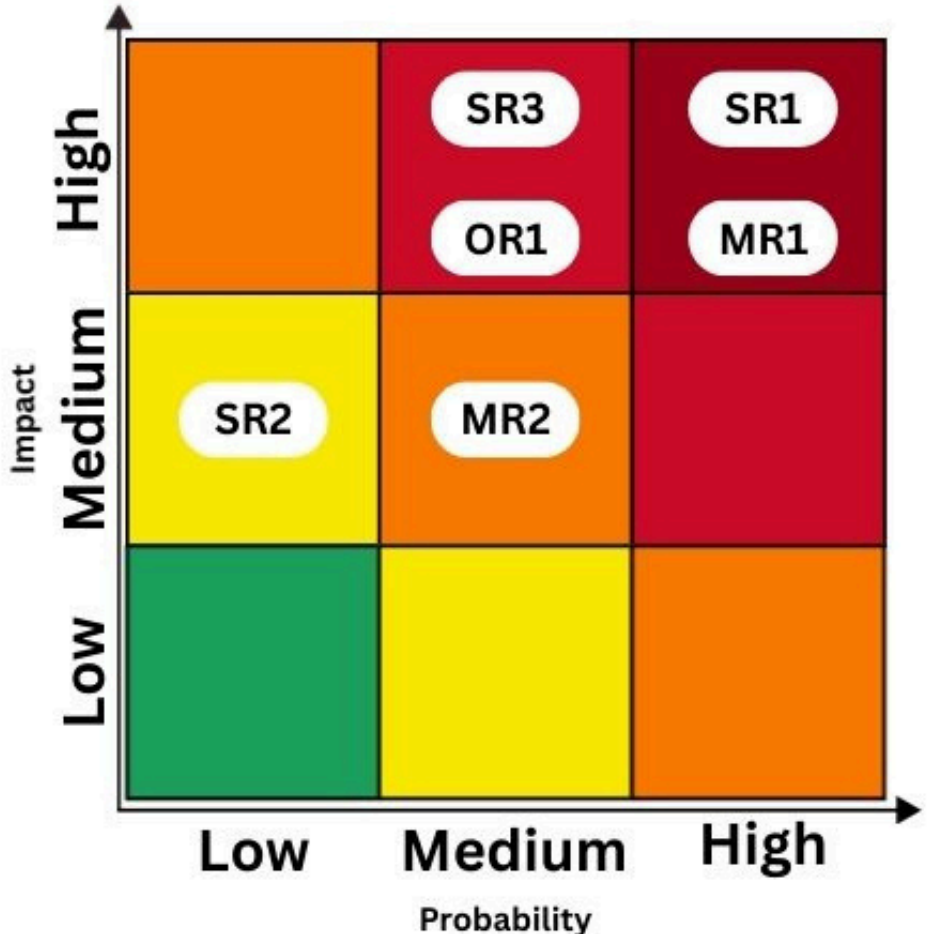
Disciplined Capital Allocation

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Sustained Shareholder Value

Investment Risks: Material but Mitigated

Key uncertainties are real; structural advantages limit long-term impact



Risk	Mitigation
SR1: EVs *Fewer moving parts may reduce long-term demand*	Aging vehicle fleet + expansion into EV components
SR2: AVs *Software-driven diagnostics shift repair channels*	Advanced diagnostic tools & Technical data access
SR2: OEMs *Parts availability shifts to dealer networks*	Scale, supplier diversification, private label sourcing
OR1: Tariffs *Cost pressure + inventory disruption*	Diversified sourcing + hub-and-spoke flexibility
MR1: Interest Rates *Pressure on discretionary spending*	Revenue skewed toward essential maintenance
SR2: Economic & Weather *Short-term sales disruption*	Dense distribution network supports continuity